

We introduce a new term here, the ‘quality premium’, which we define as the difference between the annualized returns generated by a stock or a portfolio and the benchmark index (say, the Sensex) over a particular holding period. A positive value of the ‘quality premium’ implies that increasing the quality of the stock portfolio generates better returns for the same investment horizon. So, for example, if Rakshit’s portfolio generates a return of 17 per cent over a ten-year period whilst the Sensex generates 13 per cent over the same ten-year period, the quality premium for Rakshit’s portfolio is 4 per cent (17 per cent minus 13 per cent).

Our research on the Sensex’s returns over the past twenty-six years and the returns generated by the Coffee Can Portfolios since 2000 has produced some very interesting conclusions, which we summarize below.

Observation No. 1: The shorter the holding period, the higher the quality premium

This observation is counter-intuitive. Interestingly, it is strikingly similar to the comparison between the batting averages of two cricket legends—Rahul Dravid and Virender Sehwag—for various formats of the game. Dravid was a great defensive batsman with an effortful (rather than effortless) batting style which lacked flamboyance—characteristics that sound perfect for the test match format, i.e. five-day matches. Sehwag, on the other hand, was an aggressive batsman, ready to flirt with unimaginable risks and looking to hit almost every ball over the boundary—characteristics that sound perfect for one-day internationals (50-over matches) and T20 international matches (20-over matches). While Dravid is perceived to be the accumulator of runs, Sehwag is perceived to be the prolific scorer of runs. However, the table below shows an interesting comparison. Not only does Dravid outperform Sehwag in every version of cricket, Dravid’s outperformance (as measured by his batting average) is the widest in T20 and the narrowest in Test cricket.